

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. MSC MEDITERRANEAN SHIPPING COMPANY SA

JOINT STATUS REPORT

Pursuant to the Presiding Officer's February 4, 2022 Order on Motion to Amend Complaint and Motion to Dismiss, the undersigned counsel for Complainant MCS Industries, Inc. ("MCS Industries") and Respondent MSC Mediterranean Shipping Company SA ("Mediterranean" and, collectively with MCS Industries, the "Parties") jointly file this status report.

I. Proposed Schedule

Counsel for the Parties conferred concerning the matters specified in the Presiding Officer's February 4, 2022 Order last week, prior to Respondent's filing of its Notice and Update on Joint Status Report (the "Notice") attaching a February 25, 2022 Memorandum of Swiss Law (the "Memo") from Respondent's Swiss counsel. Respondent has proposed the following schedule, to which Complainant does not object except as detailed below:

March 7, 2022: Complainant serves second round of discovery

March 7, 2022: Complainant provides documents from Expeditors International

September 2, 2022: Close of fact discovery

October 17, 2022: Close of expert discovery

October 31, 2022: Motion(s) for summary disposition, if any

November 14, 2022*: Complainant files brief with proposed findings of fact and appendix

December 12, 2022*: Respondent files opposition brief with proposed findings of fact and responses to Complainant's proposed findings of fact, and appendix

December 30, 2022*: Complainant files reply brief with responses to Respondent's proposed findings of fact

* Dates would be extended to 3 weeks after disposition of a motion for summary disposition if one is filed.

The Parties agree that absent special circumstances depositions should take place after substantial completion of documentary discovery.

As discussed in more detail below, Respondent believes that the time period for fact discovery will allow for the procedures discussed in the Notice and Memo to comply with Swiss law and comity concerns under U.S. law as well as additional discovery made necessary by the amendment of the Complaint, and Complainant reserves all rights and remedies as to these issues.

Complainant's position: Despite Complainant's efforts to proceed expeditiously with discovery in this case, Complainant has now twice been placed in a position where the then-applicable case schedule would have forced it to proceed with key depositions before Respondent has complied with its own discovery obligations under the Federal Maritime Commission's (the "Commission") Rules of Practice and Procedure (the "Rules") and the Presiding Officer's Order. Moreover, on two occasions Complainant has noticed a deposition of Respondent's corporate representative(s), and Respondent has unilaterally refused to produce a corporate designee without proposing alternative dates. Consequently, although Complainant continues to desire to move this case forward promptly, it cannot allow itself or its claims to be disadvantaged or prejudiced in the process. Accordingly, Complainant is willing to afford Respondent the time that Respondent claims it needs in order to comply with its discovery obligations and the Presiding Officer's Order, but Complainant also respectfully requests that the Presiding Officer fashion the new case schedule to (1) facilitate Respondent's compliance and (2) prevent Complainant from being prejudiced by

further delays in such compliance by specifically providing that depositions shall occur *after* substantial completion of documentary discovery, and that expert discovery shall follow the completion of fact discovery. Complainant believes that depositions could be completed within approximately **45 days** after substantial completion of documentary discovery, and that expert discovery could be completed within approximately **45 days** after depositions are completed.

Respondent's position: As stated above, Respondent agrees that absent special circumstances depositions should take place after substantial completion of documentary discovery and that expert discovery can be completed 45 days after the end of fact discovery. Complainant noticed the referenced corporate designee deposition, apparently for protective purposes, first for a date before the motion to compel was decided and next for a date before the motion to amend was decided, which did not meet this objective. Respondent believes that the proposed schedule will allow for depositions in an orderly manner.

II. Status of Discovery Requests

A. Party Discovery

1. Complainant's initial sets of RFPs (served September 24, 2021) and interrogatories (served October 7, 2021).

Complainant's position: This discovery to Respondent was the subject of Complainant's motion to compel, which the Presiding Officer granted on December 8, 2021. To date, Respondent has not yet provided any interrogatory responses or produced any documents, communications, or information pursuant to that Order.

Respondent's position: As stated in the Notice and Memo, Swiss criminal law does not allow Respondent to proceed with compelled discovery absent compliance with the procedures set out in the Memo. Respondent believes these set out an orderly procedure that is consistent with

the schedule proposed and complies with Swiss and U.S. law including comity concerns, and stands ready to assist that process.

2. Complainant's second set of RFPs (served December 7, 2021).

Complainant's position: This discovery instructed Respondent to demand and collect from "MSC China booking agents" Shandong Smart International Logistics Co., Ltd. ("Smart"), Qingdao JET Marine Logistics Co., Ltd. ("JMS"), and China Ocean Shipping Agency, Tianjin Co., Ltd., doing business as PENAVICO Tianjin ("Penavico") the documents, communications, and information that the Presiding Officer previously instructed Smart, JMS, and Penavico to produce to Complainant pursuant to the subpoenas issued by the Presiding Officer on November 3, 2021. Although Respondent's responses and objections indicated that additional responsive documents would be forthcoming, and Respondent has contacted Smart, JMS, and Penavico in this connection, to date Respondent has produced no such additional documents, or any documents or information from Smart, JMS, or Penavico, and has not identified a date certain by which such documents will be produced to Complainant.

Respondent's position: Smart, JMS, and Penavico are third parties that Complainant subpoenaed in November. Complainant has not advised of any response to those subpoenas. Respondent does not control these parties, though it may have the contractual right to seek documents from them and provide them in this litigation. Respondent is proceeding to see if it can enforce this potential right and provide the documents.

3. Complainant's second set of discovery request

Complainant's position: Now that Respondent has filed and verified its Answer to Complainant's Verified Amended Complaint, Complainant intends to serve supplemental sets of

RFPs and interrogatories, largely along the lines of its initial RFPs and interrogatories but addressing the issues and broader time frame of the new pleadings.

Respondent's position: This discovery was discussed in December, the Parties proposed a deadline of January 21 to provide it, and it still has not been served.

4. Respondent's discovery

Complainant's position: Respondent has served two sets of RFPs and interrogatories on Complainant (on September 24, 2021 and January 19, 2022). Complainant timely served objections and responses to both sets of RFPs and interrogatories and has produced relevant, non-privileged documents in response to both the first set of RFPs and a subsequent informal request from Respondent's counsel. The Parties plan to confer concerning Complainant's objections and responses to Respondent's second sets of RFPs and interrogatories, and Complainant is collecting and reviewing documents for production in response to Respondent's second set of RFPs.

Respondent's position: Complainant has taken a much narrower view of its discovery obligations than the obligations it has imposed on Respondent. The meet and confer will also ask why Complainant waited months to provide booking report documents that were within explicit discovery requests and highly relevant to its claims.

5. Additional Depositions:

Complainant's position: There have been no further depositions of Complainant or Complainant's personnel since the Parties' last Joint Status Report, and to date no depositions of Respondent or Respondent's personnel have taken place, at all. In light of then-applicable case deadlines, in late January Complainant's counsel once again noticed the deposition of Respondent's corporate designee(s) but was informed by Respondent's counsel that Respondent could not proceed with the deposition at that time. Once Respondent has complied with its

documentary discovery obligations under the Rules and the Presiding Officer's Order, Complainant intends to proceed promptly with that corporate deposition and the depositions of certain of Respondent's personnel—including the depositions of at least two of Respondent's personnel based in Switzerland, which according to Respondent may implicate the same issues raised in Respondent's Memo.

Respondent's position: Respondent will provide a designee once documentary discovery (on both sides) is substantially complete. Respondent will seek additional depositions of Complainant's personnel, including perhaps a designee, and others who dealt with Complainant's shipments.

B. Non-Party Discovery

Complainant's position: Complainant has not received any formal responses or objections to the subpoenas issued to Smart, JMS, or Penavico. However, Complainant's goal with its second set of RFPs to Respondent (along with its communications with counsel for Penavico and Respondent's requested communications with Smart, JMS, and Penavico) is to facilitate collection and production of responsive documents and information from those entities without the need for formal action to enforce the subpoenas.

Earlier this month, Complainant's counsel received a set of documents from Complainant's agent, Expeditors International of Washington, Inc. ("Expeditors"), in connection with the subpoena issued to Expeditors by the Presiding Officer on November 19, 2021. Expeditors' counsel provided these documents to Complainant's counsel prior to production in the case for review and designation pursuant to the Confidentiality Stipulation and Protective Order. Complainant's counsel expects to complete that review and designation process in the coming days, after which Complainant's counsel will coordinate with Expeditors' counsel regarding the

production of those documents to Respondent's counsel. Complainant's counsel also intends to review the extent to which any documents previously provided by Expeditors on a voluntary basis may be responsive to Respondent's second set of RFPs, and will coordinate with Expeditors' counsel as necessary regarding the confidentiality designation and production of any such relevant, non-privileged documents.

Respondent's position: Respondent appreciates that Complainant will complete its review in the "coming days" of the unspecified volume of documents it received 3 1/2 weeks ago from Expeditors. Respondent has proposed a time certain for that production. Respondent also appreciates the Complainant will provide the documents it received from Expeditors in November 2021, which have not yet been produced and many of which were likely responsive to discovery requests outstanding at that time.

C. Compliance with the Order to Compel and Delays in Obtaining Discovery from Overseas

As noted above, to date, Respondent has not yet provided any interrogatory responses or produced any documents, communications, or information to Complainant pursuant to the Presiding Officer's Order.

Complainant's position: Complainant's counsel raised with Respondent's counsel the issue of Swiss law, and whether it could interfere with discovery in this case, during conferences in September and October 2021. It was not until December 16, 2021, however—after Complainant had filed and prevailed on its motion to compel—that Respondent raised the issues of Swiss law now discussed in greater detail in the Notice and Memo filed last week. Nothing in the Memo or Notice explains why the Memo was not produced before this past Friday, over two months after the Presiding Officer issued the Order granting Complainant's motion to compel. Moreover, despite Respondent's prior statements that it has been "working through the Swiss legal issues",

neither the Notice nor the Memo discloses or reflects **any** concrete action taken by Respondent or Respondent's counsel since the Presiding Officer issued the Order to facilitate or advance Respondent's actual compliance with that Order and production of the requested documents and information to Complainant. Without waiving any rights, remedies, or positions, Complainant respectfully requests that the Presiding Officer (and/or the Commission, as may be necessary or appropriate) take any and all actions necessary to facilitate and ensure Respondent's compliance with its obligations under the Rules and the Order in this case, including pursuant to 46 U.S.C. Section 41108(c). In particular, because the delay in obtaining Swiss legal clearance was entirely due to Respondent, which chose to wait over four months after Complainant raised the issue before filing its Memo, and because Respondent could have voluntarily answered Complainant's interrogatories and produced all relevant documents, communications, and information without forcing Complainant to file, and win, a motion to compel, Complainant respectfully suggests that if Respondent continues in its noncompliance with the Presiding Officer's Order past any new deadline set by the Presiding Officer, then additional sanctions, including without limitation an adverse inference and entry of judgment, may become appropriate.

Respondent's position: Complainant unfortunately does not set out the communications on this subject accurately. Respondent surfaced the issue of Swiss law constraints on compelled discovery early on in the case, promptly raised the issue again once the issue was joined, and immediately moved forward to obtain Swiss legal advice given the gravity of the consequences of noncompliance with Swiss law. Respondent believes the Memo sets out an orderly procedure that is consistent with the schedule proposed and complies with Swiss and U.S. law including comity concerns, and stands ready to assist that process.

III. Settlement

The Parties previously discussed a potential resolution of this case but were unable to come to agreement. Complainant has expressed an interest in settlement negotiations. MSC believes that the case should be resolved to allow the parties to continue their relationship on commercial terms without the expense and distraction of further litigation.

Respectfully submitted,

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